

Fearnleys Dry Bulk Market Outlook

Sep 27, 2024

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SUMMARY AND OUTLOOK

We make a few changes to our outlook from our previous report. On Capesize, we change from a lower market next year and a more bearish 2026, to a more bearish 2025 and a recovery in 2026.

We expect China's iron ore import growth to be negative next year, as credit growth is weak, iron ore and steel demand is down 3.5% from last year, and iron ore port inventories are around the highest level seen in the last 10 years. We do not expect fresh stimulus measures to take effect before Q4 2025 at the earliest

2025:

- Continued weak steel and iron ore market fundamentals in China.
- Iron ore inventory drawing, due to prevailing negative steel mills margins.
- Negative growth in China's iron ore imports.
- The weak steel market fundamentals also pose a risk for coal imports, and Bauxite import growth.

2026:

- Iron ore inventories in China could be at low levels.
- Rebound in China's steel and iron ore market fundamentals, due to stimulus measures being added through 2025.
- Ramp-up of Simandou iron ore shipments, which could displace some domestic Chinese iron ore.
- Lower fleet growth than 2025.
- Global macro could be a negative factor. We expect a US recession in 2026.

Regarding Kamsarmax, Ultramax, and Handysize, we keep our viewpoints as per last. We expect earnings to average at similar levels to this year, although downside risks could increase from the middle of the year onwards. The picture looks mixed to us.

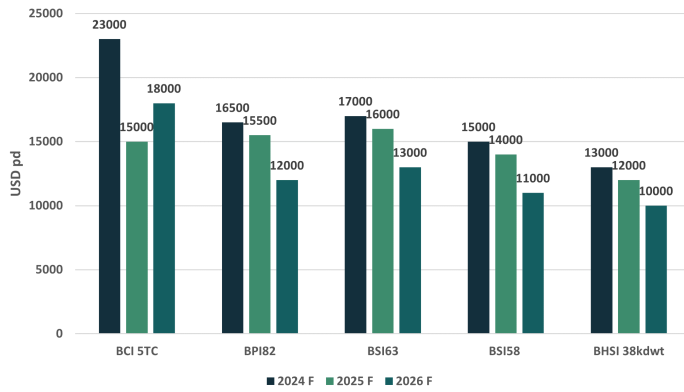
2025:

- Weakness in China could be a bearish factor, as still weak steel market fundamentals could mean coal imports will be lower than in 2024.
- Several global money supply indicators point strongly upward for 2025, meaning several commodity prices could increase significantly. In such an environment, it is rare to see a bearish year for the mid and small-sized segments. The price of industrial metals is the key factor to watch in this regard.
- Supply of coal remains a problem. This year, only Indonesia managed to add volume in significant quantities. Russia's volumes are down by almost 20%, and the other major exporters do not have the capacity to increase exports by much.
- The upside potential mainly lies in developed economies' imports.
- India's and South East Asia's imports are likely to continue growing.

2026:

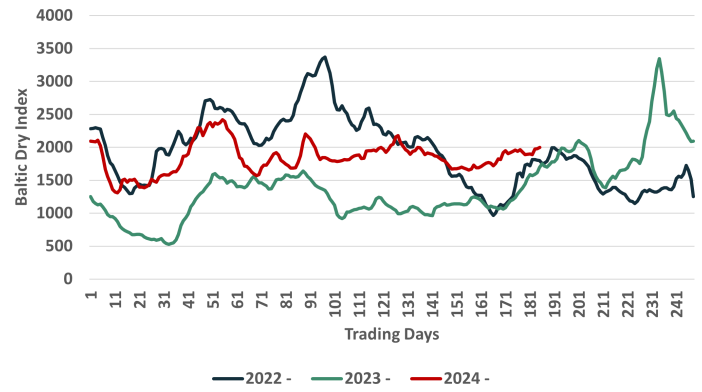
- Weakness due to a cyclical downturn in economic growth. This will likely affect all countries and regions.

Earnings Forecasts



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BDI by Year



SUPPLY OUTLOOK

Total fleet statistics, year to date 2024.

Deliveries: 26.2 million DWT
 Scrapping: 2.4 million DWT
 Year on Year Fleet Growth: 2.9%

Fleet statistics per segment.

Handysize

Deliveries: 4.1 million DWT
 Scrapping: 0.9 million DWT
 Year on Year Fleet Growth: 2.4%

Supramax/Ultramax

Deliveries: 8.7 million DWT
 Scrapping: 0
 Year on Year Fleet Growth: 4.6%

Panamax/Kamsarmax

Deliveries: 6.9 million DWT
 Scrapping: 0.8 million DWT
 Year on Year Fleet Growth: 2.8%

Capesize/Newcastlemax

Deliveries: 6.5 million DWT
 Scrapping: 0.5 million DWT
 Year on Year Fleet Growth: 2.2%

Orderbook to Existing Fleet Ratios (in DWT terms)



Total Fleet:	9.1%
VLOC:	3.7%
Capesize/Newcastlemax:	7.0%
Panamax/Kamsarmax:	11.4%
Supramax/Ultramax:	13.0%
Handysize 25-50kdw	9.4%

Total fleet growth estimates

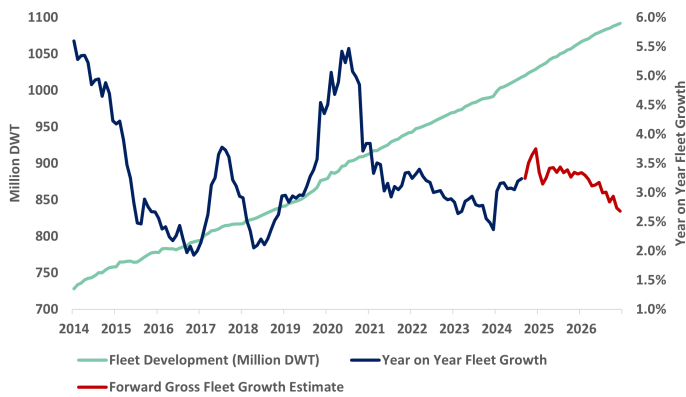
2024: About 3.0%

2025: About 3.0%

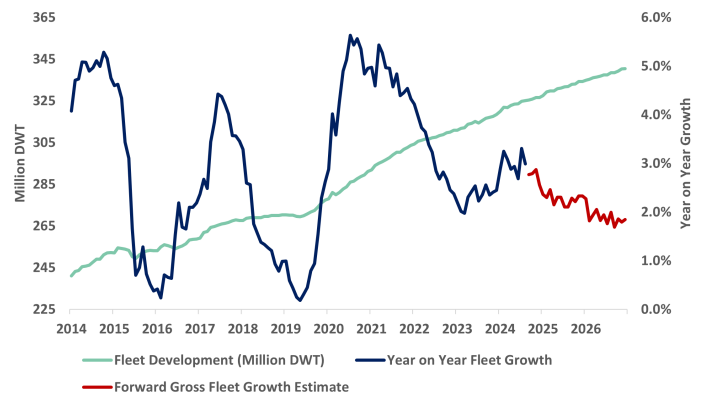
2026: About 2.0%

Fleet Growth and Forward Gross Estimates

Total Fleet Growth Including Estimate



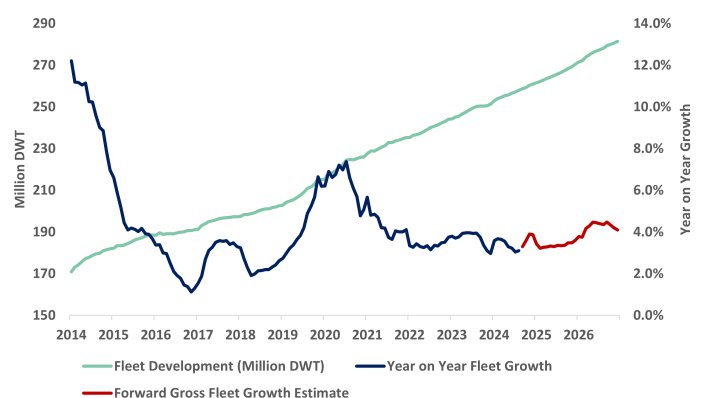
Cape/Newc Fleet Growth Including Estimate



VLOC Fleet Growth Including Estimate



Panamax/Kamsarmax Fleet Growth Including Estimate

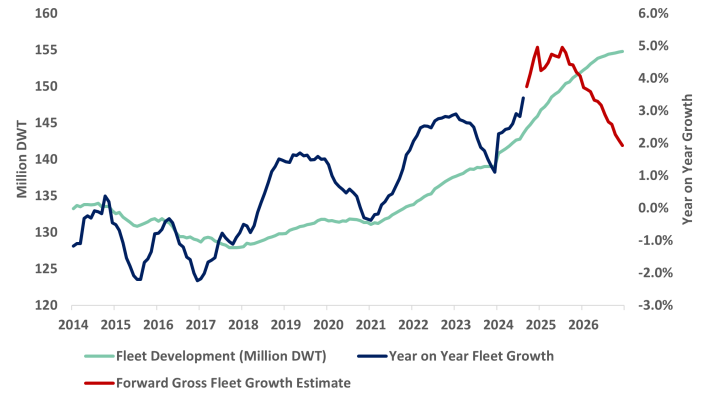


Supramax/Ultramax Fleet Growth Including Estimate



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Handysize Fleet Growth Including Estimate



PERIOD RATES AND ASSET VALUES

Basis the correlation between earnings and asset values since 2010, we believe the following adjustments have to be made in order to bring the relationship back to normal.

Handysize: 1-year time charter rates either have to rise above 15.000 USD pd, or the 10-year-old value has to fall to around 17 million USD.

Supramax: 1-year time charter rates either have to rise to around 19.000 USD pd, or the 10-year-old value has to fall to about 20 million USD.

Kamsarmax: 1-year time charter rates either have to rise above 20.000 USD pd, or the 10-year-old value has to fall to 23-24 million USD.

Capesize: 1-year time charter rates either have to rise towards 25.000 USD pd, or the 10-year-old value has to fall below 40 million USD.

In our previous report from late August, we wrote the following:

In our reports before the summer, we outlined the view that 1-year time charter rates will make year-to-date highs for all segments during the second half of this year. This looks less likely currently, especially for Capes given the steep drop in steel and iron ore prices. However, seasonal factors like increased grain exports from the US and Canada and higher coal demand in Asia could result in year-to-date highs for the Kamsarmax, Ultramax, and Handysize segments.

In any case, we believe it could be hard to support valuations at current levels, as we see downside market risks building from late 2025 and through 2026.

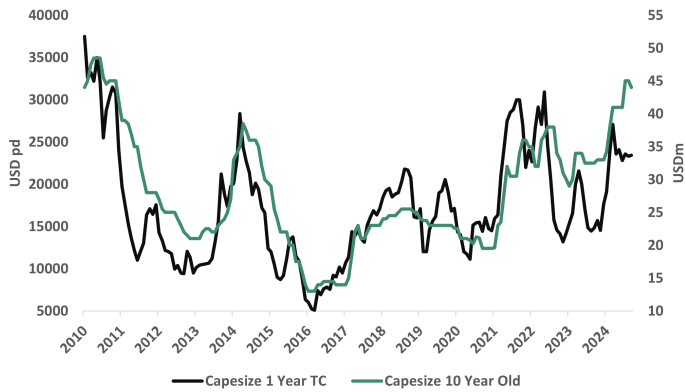
Should our forward viewpoints prove correct, the next question arising is whether the prevailing regime of expensive asset values relative to earnings will continue. For example, if average earnings in 2026 end up being similar to 2023, will values be supported at 2023 levels, or will they go lower?

The key factors in this regard are yard capacity and interest rates. Come 2026, will yard capacity be more available than now? And, how much will interest rates in the US be cut in the event of an economic downturn/recession?

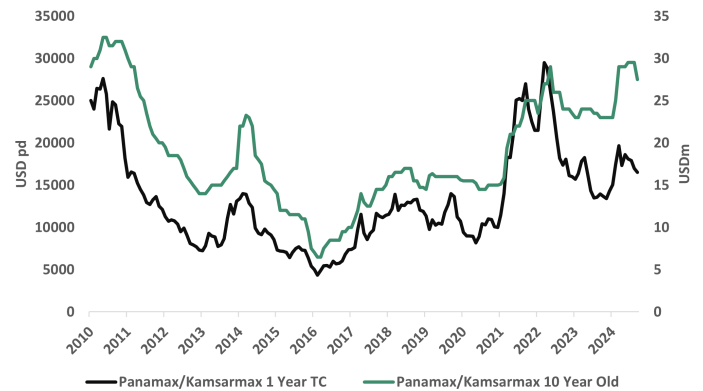
Some cracks have started to appear in asset values. We have lowered our assessments of 10-year-old values for all segments. We have also lowered our assessments of modern Kamsarmaxes. Should earnings remain around similar levels for the next six months, more downside can be expected in Kamsarmax, Ultramax and Handysize values. The Capesize market is high enough currently to support valuations close to current levels.

Asset Values vs Period Rates

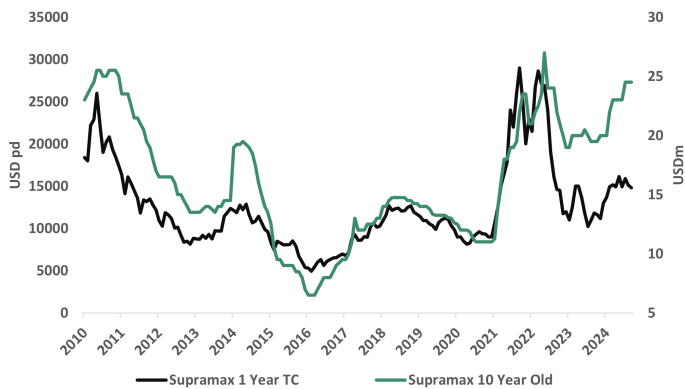
Capesize 1 Year TC vs Capesize 10 Year Old



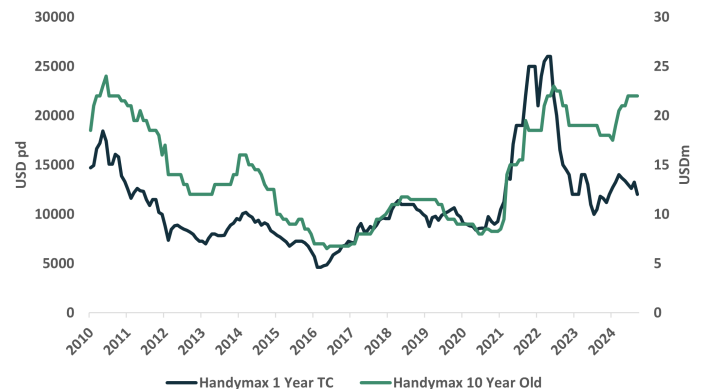
Panamax/Kamsarmax 1 Year TC vs Panamax/Kamsarmax 10 Year Old



Supramax 1 Year TC vs Supramax 10 Year Old



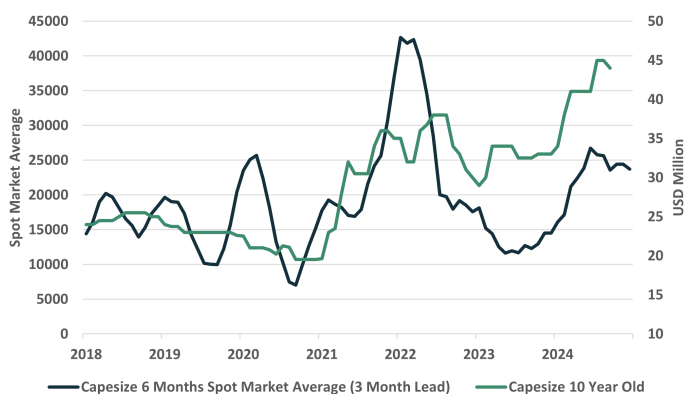
Handysize 1 Year TC vs Handysize 10 Year Old



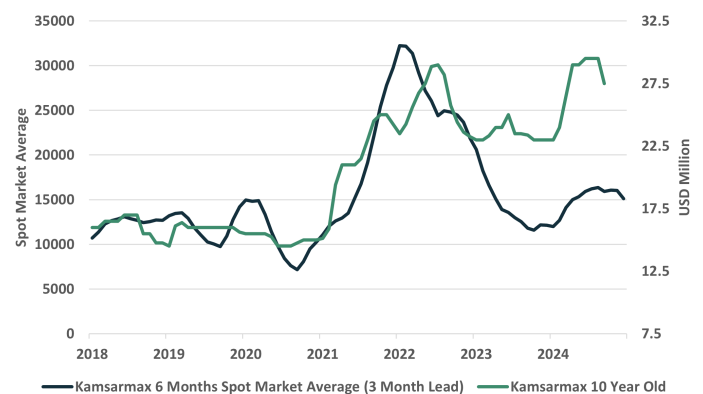
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Asset Values vs Spot Earnings Averages

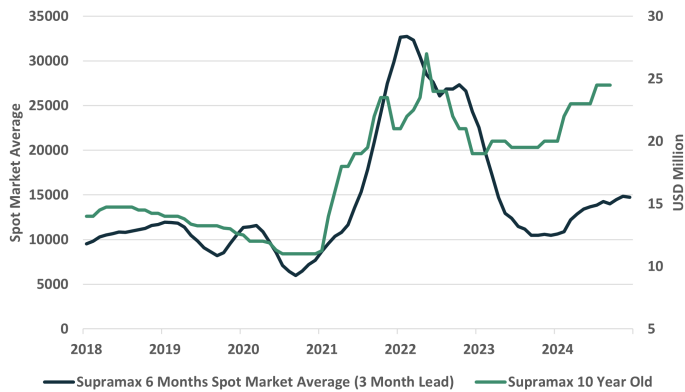
Capesize 6 Months Spot Market Average (Moved 3 Months Forward) vs Capesize 10 Year Old



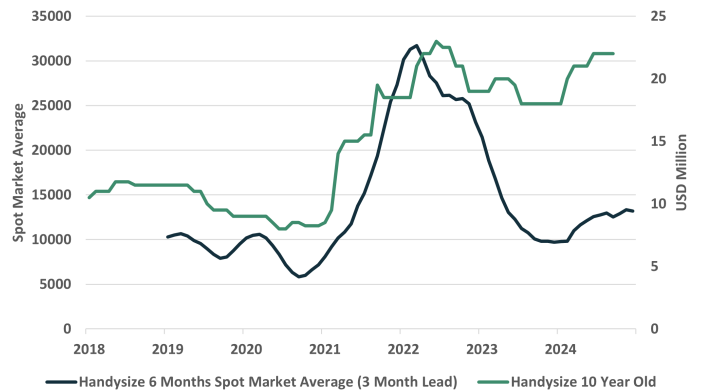
Kamsarmax 6 Months Spot Market Average (Moved 3 Months Forward) vs Kamsarmax 10 Year Old



Supramax 6 Months Spot Market Average (Moved 3 Months Forward) vs Supramax 10 Year Old



Handysize 6 Months Spot Market Average (Moved 3 Months Forward) vs Handysize 10 Year Old

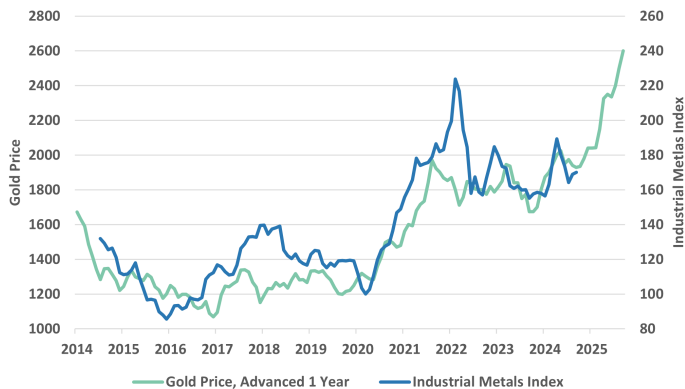


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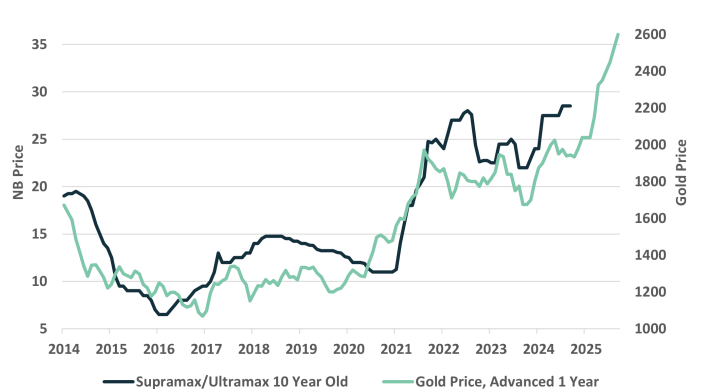
Asset Values vs Commodity Prices

The below chart displays the close correlation between commodity prices and dry bulk asset values. Rising inflation is always supportive of values, which is shown by the charts plotting the price of gold or industrial metals against the price of a 10-year-old Ultramax. The gold price often has a 1-year lead on values and is suggesting support for values until mid-next year. However, as written in the above section, earnings are the most important factor...

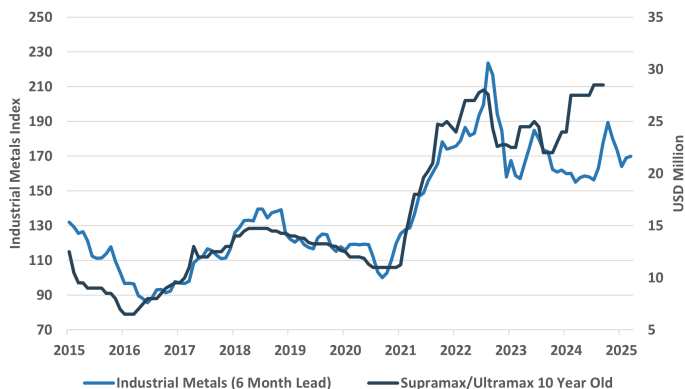
Gold Price (Moved Forward 1 Year) vs Industrial Metals Price Index



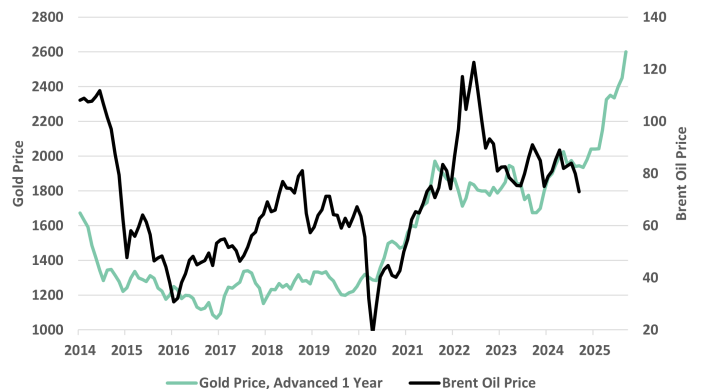
Gold Price (Moved Forward 1 Year) vs Supramax/Ultramax 10 Year Old



Industrial Metals Price Index (Moved Forward 6 Months) vs Supramax/Ultramax 10 Year Old



Gold Price (Moved Forward 1 Year) vs Brent Oil Price



S&P Global, FRED, Fearnleys

TRADE FLOWS

Below is a summary of trade flow statistics through August. Per commodity group, the main weakness is seen in coal trades, where export growth is slightly positive compared to last year. However, there are big differences in growth rates depending on which country one looks at. China, India, and Southeast Asia's import growth has been very high this year, whereas Europe, Japan, and Korea's import growth has been negative. On the export side, strong growth in Indonesian and Colombian volumes has been offset by a contraction in Russian and South African volumes. The other major commodity groups, iron ore, minor bulks, and grains, are all growing above the rate of supply growth.

Year-on-Year Trade Flow Statistics Through August

Iron Ore

Exports

Australia: 0.5%

Brazil: 9.4%

Canada: 6.1%

India: 4.4%

South Africa: 0.1%

Total Exports: 3.8%

Imports

China: 4.8%

World ex-China: 3.7%

Coal

Exports

Australia: 3.2%

Colombia: 11.5%

Indonesia: 6.6%

Russia: -16.6%

South Africa: -4.9%

USA: +7.3%

Total Exports: +1.9%

Imports

China: 9.0%

India: 9.9%

South East Asia: 13.4%

Europe and Med: -24.6%

South America: -5.5%

Japan: -6.2%



Korea: -5.0%

Grains

Total Exports: 5.1%

Brazil: -4.1%

Argentina: 64.1%

Russia: 0.6%

Ukraine: 68.6%

Total Imports: 5.3%

China Imports: 6.4%

World ex-China Imports: 4.8%

Minor Bulks

Breakbulk: -1.8%

Fertilizers: 7.6%

Steels: 10.5%

Pellets Group: 24.6%

Other Minor Bulks: 4.0%

Bauxite: +12.3%

Total Minor Bulks: 4.4%

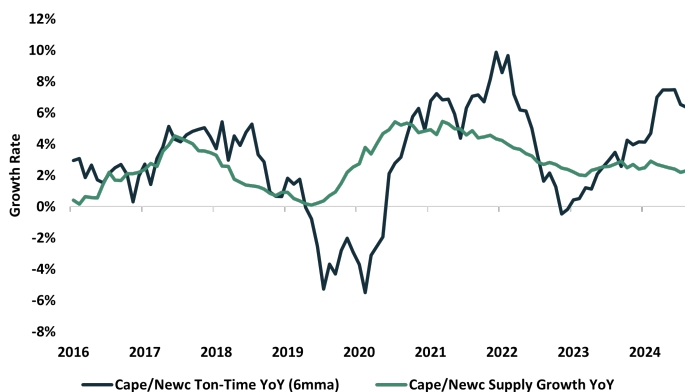
Total Atlantic Exports Growth: 5.9%

Total Pacific Exports Growth: 3.1%

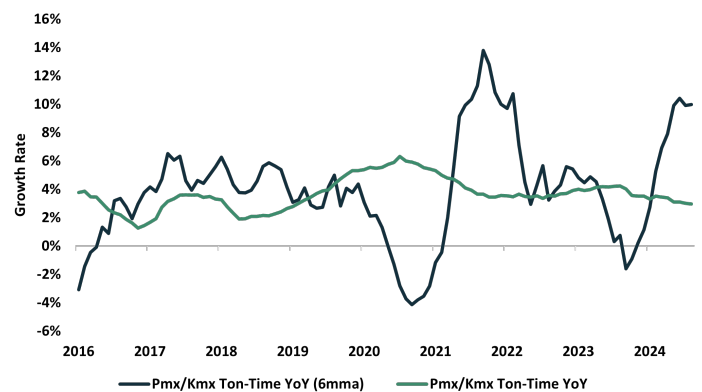
Total Exports Growth: 4.2%

Total Supply Growth: 2.9%

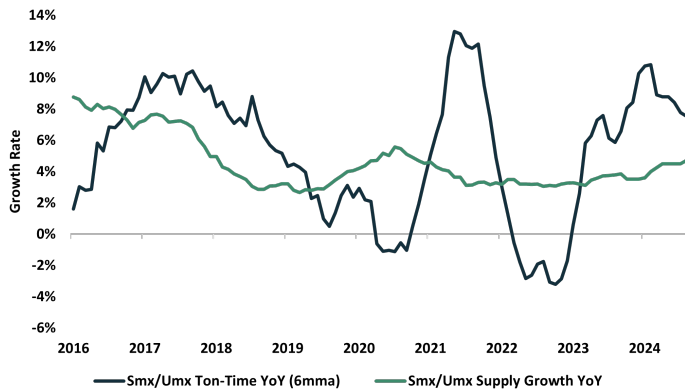
Capesize/Newcastlemax Ton-Time Growth vs Supply Growth



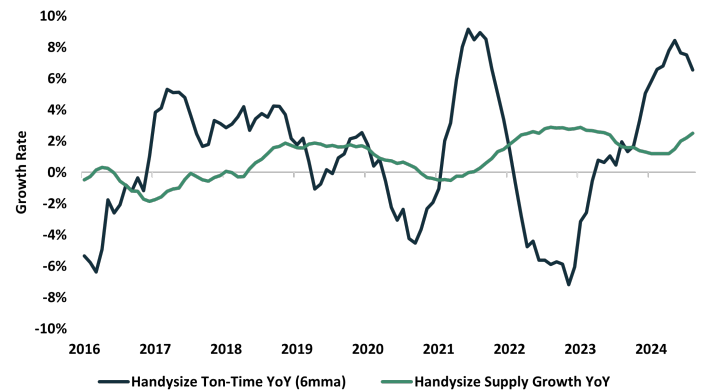
Panamax/Kamsarmax Ton-Time Growth vs Supply Growth



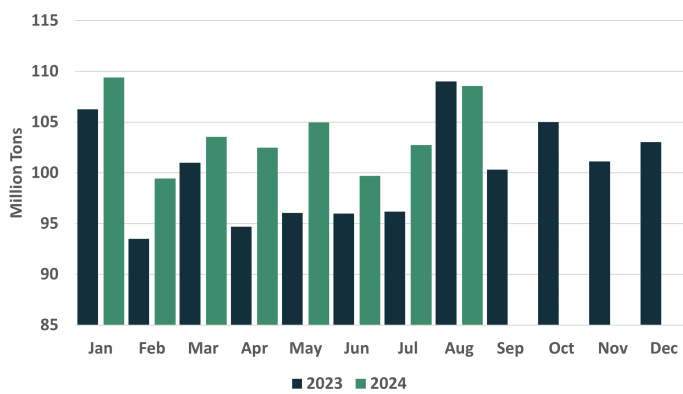
Supramax/Ultramax Ton-Time Growth vs Supply Growth



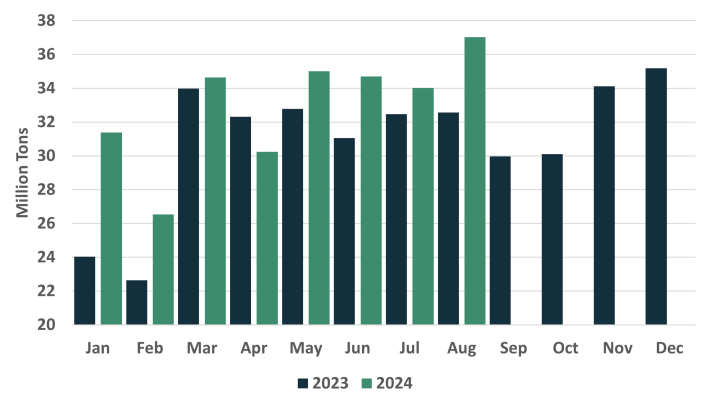
Handysize Ton-Time Growth vs Supply Growth



China Iron Ore Imports, 2023 vs 2024



China Coal Imports, 2023 vs 2024



MACRO ECONOMIC OUTLOOK

In our previous report, we outlined that the macro economic upcycle is well and alive, but that risks are building from late 2025 and through 2026. We make no change to our viewpoints in this regard.

The most important macro economic developments the last months have been the interest rate cut in the United States, and the stimulus announcement in China. How might this impact the dry bulk markets?

Starting with the US interest rate cut, we see this as both bullish and bearish. Bullish because interest rate cuts could cause the dollar to weaken, which should support commodity prices and dry bulk demand. The below chart shows that there is often a very tight correlation between a weaker dollar exchange rate and higher dry bulk shipment volume growth. The Federal Funds rate is at about 4.8%, but the 2-year treasury yield is at 3.5%, which strongly suggests that the Federal Funds rate will be cut by at least another 1.0%. Many economists expect the Fed to cut by another 0.5% in their next meeting in December.

The flip side of this is that these rate cuts are giving a strong warning that the US is headed for a recession. The spread between the 2-year treasury yield and the federal funds rate is as wide now as it was in 2008 and 2000. A few quarters after this, the unemployment rate increased significantly, and stock markets performed badly during these periods. So, we do think the rate cuts in the US will be supportive for dry bulk markets until the middle of next year. We do however think a recession will happen, with this impacting dry bulk markets negatively in late 2025 and through 2026.

What about the stimulus announcements in China then? The first thing to consider in this regard is that all the measures done by the Chinese authorities are supposed to lead to an increase in lending growth. For over two years, monetary policy in China has been eased by reserve requirement ratio and interest rate cuts. However, credit growth has been weak throughout the whole period, with the measures only preventing credit contraction rather than being stimulative. Below, the two upper charts show that reserve requirement ratios have been cut continuously since the middle of 2021,

so the year-on-year change in the reserve requirement ratios has been negative since then. Still, credit growth has been much lower through this latest stimulus period than it was during the three previous stimulus periods in 2019/20, 2015/16, and 2019/10. This is a reflection of the lack of credit demand in China. Households are not leveraging up as the property sector is collapsing, and there have been reports in the last months that government entities are struggling to find infrastructure projects to invest in, despite funds being allocated. This could mean that China's economy is so mature that a zero interest rate policy along with increased central government spending (QE) is needed to get a real stimulus going...

Regarding China's import demand, the USDCNY year-on-year change has been a very accurate leading indicator of import growth in the last 10 years. That indicator is pointing to negative import growth early next year, which seems supported by other factors like falling steel and iron ore consumption, higher iron ore inventories, and weak credit growth. In turn, negative import growth to China could be a significant downside risk to the global economy, as represented by the chart showing the OECD economic indicator against China's bulk commodity import growth with a lead of 1 year.

In terms of the growth outlook for each major country/region, we expect the following:

China:

Negative import growth in 2025, possibly a recovery in 2026, depending on stimulus measures done (or not done) next year.

Developed economies:

Most likely higher imports over the next year, but a cyclical downturn again from late 2025 and through 2026.

India and Southeast Asia:

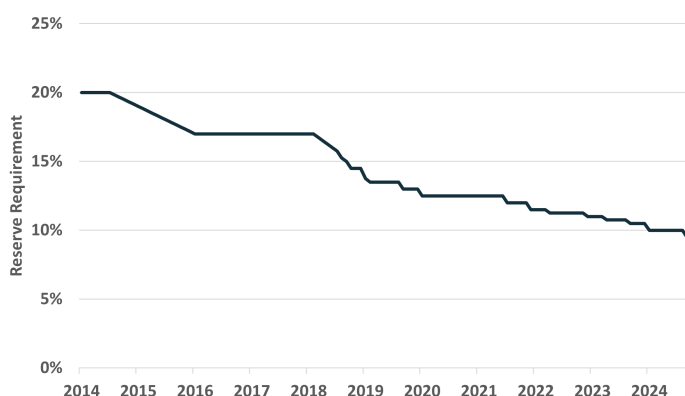
Continued import growth in 2025. Possibly zero or negative import growth in 2026, depending on how weak the next global economic downturn will be.

South America, Africa, and the Middle East:

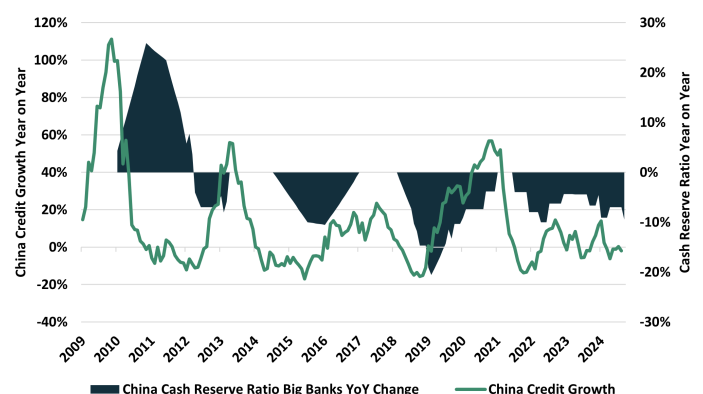
Cyclical weakness from late 2025 and through most of 2026.

Should these assessments be correct, the Capesize market is likely to average lower next year. The Kamsarmax, Ultramax, and Handysize segments could average around the same levels as this year, although downside risks are likely to increase from mid-2025 onwards. In 2026 weakness will likely persist, though the Capesize segment might recover before the smaller sizes.

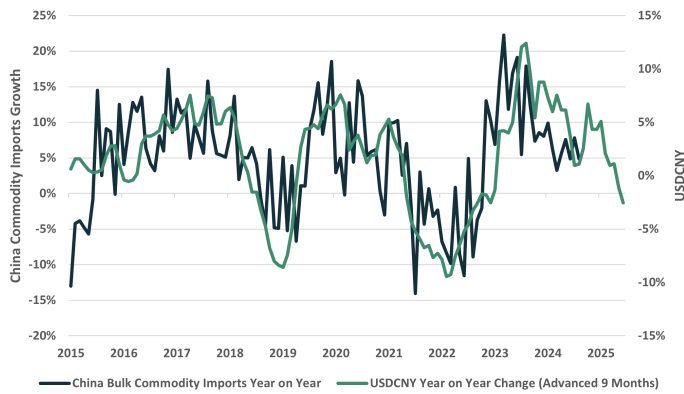
China Cash Reserve Requirement Ratio



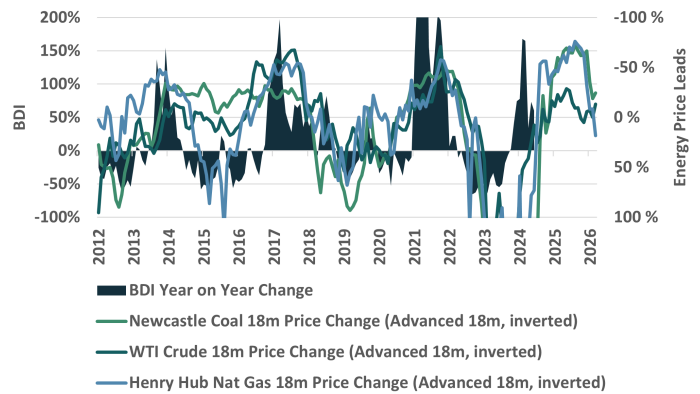
China Cash Reserve Requirement Ratio YoY vs Credit Growth



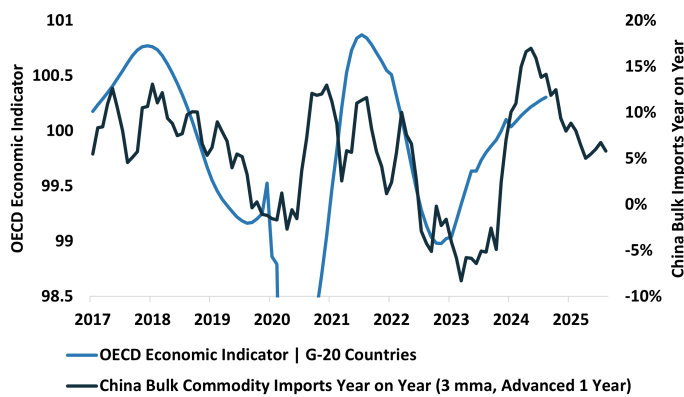
USDCNY YoY, 9 Months Lead vs China Bulk Commodity Imports YoY



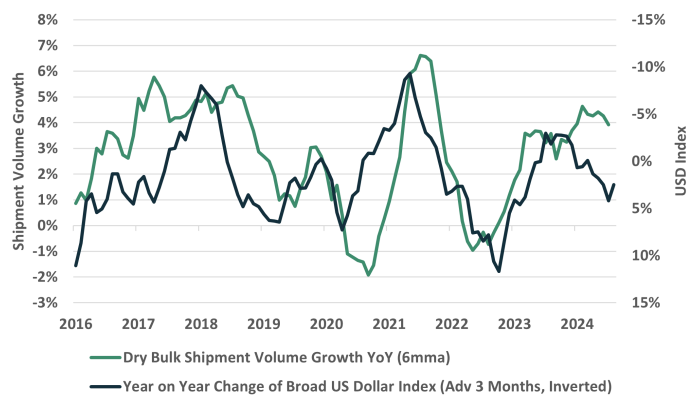
Gas, Oil and Coal Price Change Lead vs BDI Year on Year Change



China Bulk Commodity Imports Lead vs OECD Economic Indicator



USD (3 Months Lead) vs Dry Bulk Shipment Volume Growth



FRED, OECD, S&P Global, AxsMarine, Baltic Exchange



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